

1.3 Unit content

1.3.1 What is the nature of economics?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Scarcity	Understand the problem of unlimited wants and finite resources. Distinguish between renewable and non-renewable resources.	Students should understand that the economic problem is faced by consumers, producers and the government. Students should understand the meaning of sustainable resources.
Production possibility frontiers	Use production possibility frontiers to depict opportunity cost, economic growth and the efficient allocation of resources. Distinguish between movements along and shifts in production possibility frontiers.	Marginal analysis is required to depict opportunity cost. A basic definition of economic growth is required along with knowledge of the factors which might cause the production possibility frontier to shift outwards or inwards.
Specialisation and the division of labour	Understand the advantages and disadvantages of specialisation and the division of labour.	AS students are not expected to have an understanding of international specialisation and comparative advantage.
Free market and mixed economies	Understand the advantages and disadvantages of a free market economy and why there are mixed economies.	Students are not expected to have an understanding of centrally planned economies.
Positive and normative economics	Distinguish between objective statements and value judgements on economic issues.	Students should know that value judgements influence economic decision making and policy.

1.3.2 What determines the demand for a good or service in a market?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Movement along the demand curve	Understand how a change in price causes a movement along a demand curve.	Students are not expected to have an understanding of utility theory or indifference curve analysis.
Shifts in the demand curve	Understand factors which may cause a shift in the demand curve, for example, changes in the price of substitutes or complementary goods; changes in real income and tastes.	
Price, income and cross elasticities of demand	Explain price, income and cross elasticities of demand. Understand factors that influence elasticities of demand and their significance to firms and government. Understand the relationship between price elasticity of demand and total revenue.	Students may have to calculate and interpret numerical values of price, income and cross elasticity of demand. Students should understand the significance of elasticity to firms and government in terms of the imposition of indirect taxes and subsidies; changes in real income and changes in the price of substitute and complementary goods.

1.3.3 What determines the supply of a good or service in a market?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Movement along the supply curve	Understand how a change in price causes a movement along the supply curve.	AS students are not expected to understand the relationship between marginal costs and supply.
Shifts in the supply curve	Understand the factors which may cause a shift in the supply curve, for example, changes in the costs of production, the introduction of new technology, indirect taxes and government subsidies.	Producer cartels may be a significant determinant of supply in some markets, for example, oil. Students should be able to apply both specific and ad valorem taxes to a market.
Price elasticity of supply	Explain price elasticity of supply; understand factors that influence price elasticity of supply. Distinguish between the short run and long run in economics and understand its significance to price elasticity of supply.	Students may have to calculate and interpret numerical values of price elasticity of supply.

1.3.4 What determines the price of a good or service in a market?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Determination of market equilibrium	Explain equilibrium price and quantity and how they are determined. Understand how the operation of market forces eliminates excess demand and excess supply.	Students should understand that shifts in demand and supply curves will change the equilibrium price and quantity.
Consumer and producer surplus	Distinguish between consumer and producer surplus. Illustrate consumer and producer surplus on a demand and supply diagram.	Students should understand how changes in demand or supply might affect consumer and producer surplus.
Functions of the price mechanism	Understand the rationing, incentive and signalling functions of the price mechanism for allocating scarce resources.	The price mechanism may be considered in the context of product, commodity and labour markets.

1.3.5 How might the change in price of a good or service be explained?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Price mechanism	Apply the price mechanism in markets, such as goods, services, commodities or labour.	Students should be able to apply the determinants of demand and supply to various markets, for example, price of stock market shares, oil, precious metals and agricultural commodities.
Indirect taxes and subsidies	Use supply and demand analysis to demonstrate the impact and incidence of taxes and subsidies on consumers, producers and the government.	Students should be aware of the importance of elasticities of demand and supply, for example, in relation to government indirect taxes and subsidies.

1.3.6 What determines the wage rate for labour in a market?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Demand and supply of labour	Understand the factors which influence the demand and supply of labour. Recognise that demand for labour is derived from the demand for the final product it makes (derived demand). Understand that factors influencing the supply of labour include population migration, income tax and benefits, government regulations (for example, national minimum wage) and trade unions.	Students are not expected to use marginal revenue productivity theory in explaining the demand for labour. AS students are not required to use the backward sloping supply curve for labour and are not required to use monopsony analysis.

1.3.7 Why do some markets fail?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Market failure	Define and understand different types of market failure.	Students should understand that market failure is when the price mechanism causes an inefficient allocation of resources. The types of market failure considered at AS level are externalities, public goods, imperfect market information, labour immobility and unstable commodity markets.
Externalities	Illustrate external costs and external benefits using marginal analysis, distinguishing between the market and social optimum positions. The welfare loss or gain areas are required. Understand the impact of externalities and government intervention in various markets, for example, transport, health care, education, environment, waste disposal and recycling.	Students are required only to illustrate the external costs from production and external benefits from consumption. Students should assess the costs and benefits from major investment projects such as sporting events and transport infrastructure improvements.
Public goods	Explain why public goods may not be provided by the market. Distinguish between public and private goods.	Students should understand the free rider and valuation problems.

Content	Students should be able to:	Additional guidance notes
Imperfect market information	Distinguish between symmetric and asymmetric information. Understand how imperfect market information may lead to a misallocation of resources, for example, health care, education, pensions, tobacco and alcohol.	
Labour immobility	Understand geographical and occupational immobility of labour may result in structural unemployment. Assess government measures to reduce factor immobility such as training programmes and relocation subsidies.	Students should understand the significance of house prices for restricting the geographical mobility of labour and the skills shortage for restricting the occupational mobility of labour.
Unstable commodity markets	Understand the causes and effects of fluctuating commodity prices on consumers and producers. Assess the impact of government intervention in the form of minimum prices and buffer stocks. Use diagrammatic analysis for minimum prices and buffer stocks.	Students should understand how uncertainty in production (for example, climatic) and time lags may affect supply and the significance of price and income elasticity of demand. Students are not expected to use diagrammatic analysis of the cobweb model.

1.3.8 How do governments attempt to correct market failure?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Methods of government intervention	Understand the different measures of government intervention to correct market failure, for example, indirect taxation, subsidies, buffer stocks, tradable pollution permits, extension of property rights, state provision and regulation. Apply, analyse and assess the effectiveness of each method of government intervention for correcting market failure.	Students should be able to apply government economic measures in various contexts, for example, road pricing, landfill tax, carbon offsetting and carbon emissions trading, renewable energy certificates.

1.3.9 What is government failure?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Government failure	Define and explain different types of government failure, for example, undesirable outcomes from agricultural stabilisation policies; environmental policies; transport, housing and the national minimum wage.	Students should understand that government intervention may result in a net welfare loss. Students should understand the economic arguments for and against an increase in the national minimum wage.